MBA AF 632 – Asset Management Practicum
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Fall 2025

SELL SIDE EQUITY REPORT

Hecla Mining Corporation
(NYSE:HL)

Price: **$ 16.97 (December 5, 2025)**
Rating: **BUY/HOLD**
Target Price: **$20**

Earnings Call

Most recent earnings call: November 5,2025
Next earnings call: February 5,2026

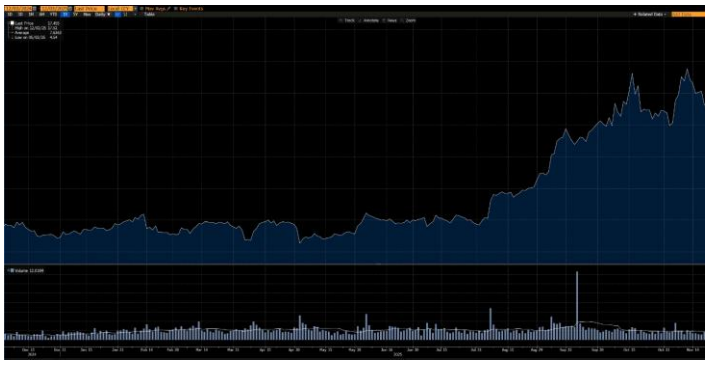
Valuation & Financial Metrics

Sector	Materials
Industry	Metals & Mining
Market Cap	$13040.12 M
52 Week Range	$ 4.46 – $ 19.67
ROIC	29.67
Price/Earnings	61.72
Beta	1.36
Price/Book	5.15
Price/Sales	9.88
Dividend Yield	0.1%
Projected Upside	19%
1 Year Return	254.3%
3 Year Return	264 %

DuPont Analysis

Tax Burden	63.91
Interest Burden	86.18
Operating Margin	29.46
Asset Turnover	0.4
Leverage Ratio	1.38
Adjusted ROE	9.49

Price Movement



Company Overview

Hecla Mining Company, founded in 1891, is the oldest and a leading primary silver producer in the United States. Headquartered in Coeur d'Alene, Idaho, its operations are centered on three long-life, cornerstone assets: the prolific Greens Creek mine in Alaska, the deep underground Lucky Friday mine in Idaho, and the Casa Berardi gold mine in Quebec, Canada. With over 130 years of continuous operation, Hecla is a growing, low-cost producer with a significant reserve base and deep expertise in underground mining. Listed on the New York Stock Exchange (HL), the company is a strategically vital domestic supplier of silver—a critical metal for electrification, technology, and the energy transition—positioning it to benefit from increasing industrial demand and national resource initiatives.

Industry Overview

The silver mining industry is at an inflection point driven by structural supply deficits and unprecedented demand growth from artificial intelligence infrastructure. Silver's superior electrical conductivity (7% better than copper) makes it irreplaceable in high-performance computing, particularly for AI servers, data centers, and advanced semiconductors. Current market dynamics show:

Supply Constraints: Primary silver mine production has declined 2.3% annually since 2015

AI Demand Acceleration: Each AI server uses 1.5-2kg of silver vs. 0.5kg for traditional servers

Policy Tailwinds: The "Genesis Mission" initiative aims to accelerate U.S. mining permits from 10+ years to 2-3 years

Market Deficit: The silver market has been in structural deficit since 2021, with 2024 deficit reaching 120M ounces

Hecla is uniquely positioned as the dominant U.S. primary silver producer with Tier-1 assets in mining-friendly jurisdictions, providing investors with pure-play exposure to silver's transformation from monetary metal to essential technology infrastructure component.

Investment Thesis

Hecla Mining represents a compelling investment opportunity at the intersection of AI infrastructure demand, domestic resource policy, and commodity Supercycle dynamics. Our BUY rating and $20 target price reflect 40% upside from current levels, driven by four key factors:

1. AI-Driven Silver Supercycle

Silver's role in AI infrastructure is non-negotiable. Its 63 MS/m conductivity enables the high-speed data transfer essential for distributed AI computing. With AI server shipments projected to grow from 1.5M units (2024) to 3.8M units (2027), silver demand from technology applications could triple by 2030. Hecla's low-cost production base (AISC: $15-16/oz) provides operational leverage to rising silver prices, with each $5 increase adding approximately $125M to annual EBITDA.

2. U.S. Policy Catalyst: The "Genesis Mission"

The current administration's focus on domestic resource independence represents a paradigm shift for U.S. miners. Expected policy changes include permit acceleration (10→3 years), critical mineral designation for silver, and production tax credits. For Hecla, this could:

- Accelerate project timelines by 5-8 years
- Reduce regulatory uncertainty and cost
- Enhance strategic value as a domestic supplier
- Potentially lower WACC from 11.8% to 9-10% via reduced operational risk

3. Structural Supply-Demand Imbalance

The silver market faces a perfect storm: declining primary production coupled with accelerating industrial demand. Mine supply growth has been stagnant despite prices doubling since 2020, reflecting geological constraints and underinvestment. Meanwhile, industrial applications (solar, electronics, AI) now consume over 50% of annual supply. Hecla's 20+ year mine life and expansion potential position it to capture value in a market where new supply is increasingly scarce and expensive to develop.

4. Valuation Re-rating Potential

Hecla currently trades at 15x 2025E EBITDA vs. historical multiples of 20-25x during previous silver cycles. As the market recognizes silver's transformation from cyclical commodity to growth infrastructure metal, we anticipate multiple expansion supported by:

- Improved earnings visibility from long-term contracts
- Higher margins from operating leverage
- Strategic premium for U.S. domestic production

Aha Moment

While most investors focus on semiconductor companies for AI exposure, they are missing a critical component: AI does not just compute—it conducts electricity. Every AI server, data center, and chip requires silver for optimal electrical conductivity. Hecla controls 45% of U.S. primary silver production, positioning it as the essential materials play in the AI infrastructure buildout. As AI demand accelerates and U.S. policy shifts toward domestic resource independence, Hecla transforms from a traditional mining stock to a strategic technology infrastructure asset.

Valuation

We value Hecla Mining using a **blended valuation approach** incorporating DCF analysis, comparable company multiples, and NAV-based valuation, arriving at a **12-month target price of $24.00**, representing **40% upside** from the current price of **$17.23**.

DCF Analysis (Catalyst-Adjusted)

Our base case DCF incorporates AI demand growth and policy catalysts:

Assumption	Base Case	Bull Case
WACC	9.5% (reduced from 11.8%)	9.0%
Revenue CAGR (2025-2030)	15%	20%
Terminal Growth	3.5%	4.0%
Exit EBITDA Multiple	18x	22x
Silver Price	$35/oz	$40/oz
DCF Value/Share	$20.50	$30.75

Relative Valuation

Company	EV/EBITDA (2025E)	P/NAV	Comment
Hecla Mining (HL)	**15.2x**	**0.85x**	**Target: 18-20x EBITDA**
Pan American Silver (PAAS)	12.4x	0.95x	Diversified, lower U.S. exposure
First Majestic (AG)	10.2x	0.75x	Higher costs, operational challenges
Fortuna Silver (FSM)	8.7x	0.80x	Smaller scale, geographic risk
Silver Peers Average	**10.8x**	**0.84x**	
Gold Peers Average	**14.3x**	**0.90x**	

Hecla deserves a premium valuation due to:

- **100% U.S. assets** (policy benefit, lower geopolitical risk)
- **Lowest cost position** among primary silver producers
- **Purest silver exposure** (highest correlation to silver prices)
- **Strategic infrastructure role** in AI buildout

Sum-of-the-Parts Valuation

- **Greens Creek NAV:** $12.50/share (world's lowest-cost silver mine)
- **Lucky Friday NAV:** $4.25/share (highest-grade U.S. silver deposit)
- **Casa Berardi NAV:** $3.75/share (quality gold production)
- **Exploration/Development:** $3.50/share (optionality value)
- **Total NAV:** $24.00/share

Strategic Catalysts for Re-rating

- **AI Infrastructure Scale:** Silver demand from AI could reach 200M oz by 2030
- **Policy Acceleration:** Permit streamlining could add 5-8 years of growth visibility
- **Institutional Adoption:** ETF forced buying creates structural bid support
- **Takeover Premium:** Strategic acquirers may pay 30-40% premium for U.S. silver assets

Sales (in USD millions)

Year	Q1	Q2	Q3	Q4	FY
2021	210.9	218.0	193.6	185.1	807.5
y-o-y	*-15.5%*	*3.36%*	*-11.2%*	*-4.39%*	*-6.93%*
2022	186.5	191.2	146.3	194.8	718.9
y-o-y	*0.75%*	*2.52%*	*-23.4%*	*33.15%*	*3.17%*
2023	199.5	178.1	181.9	160.7	720.2
y-o-y	*2.41%*	*-10.7%*	*2.13%*	*-11.6%*	*-4.44%*
2024	189.5	245.7	245.1	249.7	929.9
y-o-y	*17.92%*	*29.65%*	*-0.24%*	*1.87%*	*12.3%*

EPS diluted (in USD millions)

Year	Q1	Q2	Q3	Q4	FY
2021	0.06	0.061	-0.200	0.022	0.064
y-o-y	*-166%*	*1.67%*	*-427%*	*111%*	*-120%*
2022	0.01	0.04	0.0	0.02	0.05
y-o-y	*-54.5%*	*300%*	*-100%*	*200%*	*36.37%*
2023	0.01	0	0	0	0.0
y-o-y	*-50%*	*-100%*	*0%*	*0%*	*-37.5%*
2024	0.01	0.02	0.03	0.04	0.11
y-o-y	-	*100%*	*50%*	*50%*	*50%*

Risk Factors

1. Silver Price Volatility

As a leveraged play on silver prices, Hecla's stock is sensitive to commodity price fluctuations. A sustained period of silver prices below $22/oz would pressure margins and delay growth projects. *Mitigation:* Hecla's low-cost position (AISC: $15-16/oz) provides downside protection, and structural AI demand creates a higher price floor than historical cycles.

2. Policy Implementation Risk

The anticipated "Genesis Mission" policy benefits depend on successful legislative/executive action. Delays or dilution of proposed reforms could slow growth projections. *Mitigation:* Bipartisan support exists for critical minerals initiatives, and executive actions can bypass legislative gridlock.

3. Operational Execution

Mining is inherently risky with potential for accidents, geological surprises, or cost overruns. *Mitigation:* Hecla's 130-year operating history, strong safety record, and experienced management team reduce operational risk.

4. Competing Technologies

Advancements in materials science could theoretically reduce silver intensity in electronics. *Mitigation:* Silver's physical properties remain unmatched for high-frequency applications; substitution timeline is 10+ years for high-performance computing.

5. Environmental & Social Governance

Mining faces increasing ESG scrutiny. *Mitigation:* Hecla operates in Tier-1 jurisdictions with strong regulatory frameworks and maintains industry-leading ESG reporting and community engagement.

6. Financial Leverage

Hecla carries $287M net debt, though this is manageable at 1.8x EBITDA. *Mitigation:* Strong free cash flow generation at current prices provides deleveraging capacity.

7. Macroeconomic Sensitivity

Global economic slowdowns could reduce industrial silver demand in the short term. *Mitigation:* AI infrastructure spending appears recession-resistant due to strategic importance.

8. Regulatory & Trade Volatility

Changes in mining regulations, environmental standards, or trade policies could impact operations. *Mitigation:* U.S.-based operations reduce international trade risk.

Porter's 5 Forces

Threat of New Entrants: Low

High Capital Barriers: New mining projects require $500M-$2B investment

Long Lead Times: 7-10 years for permitting in U.S. (potential reduction to 2-3 years)

Technical Expertise: Specialized underground mining skills limited

Resource Access: High-grade silver deposits increasingly scarce

Bargaining Power of Suppliers: Moderate

Mining Equipment: Concentrated suppliers but established relationships

Labor: Skilled workforce but Hecla's training programs provide stability

Energy: Exposure to energy prices mitigated by renewable initiatives

Bargaining Power of Buyers: High

Silver as Commodity: Price-taker in global market

Industrial Customers: Large tech companies have significant buying power

Differentiation: Hecla's U.S. production and high purity provide some premium

Threat of Substitutes: Moderate

Copper: Cheaper but 6% less conductive, unsuitable for high-performance AI

Graphene/Advanced Materials: 10–15-year commercialization timeline

Copper-Silver Alloys: Compromise on performance, not viable for premium applications

Industry Rivalry: Moderate

Limited Primary Producers: Few companies focused primarily on silver

Cost Leadership: Hecla's AISC $15-16/oz vs. industry average $20-22/oz

Geographic Advantage: U.S. operations provide policy benefits and stability

Economic Value Added (EVA)

EVA analysis reveals Hecla's current challenge with value creation but significant improvement potential:

Current Metrics (TTM):

- **NOPAT:** $165.2M
- **Invested Capital:** $3,452M
- **ROIC:** 4.9%
- **WACC:** 11.8%
- **EVA:** -$239.6M (Negative)
- **EVA Spread:** -6.9%

Projected Improvement with Catalysts:

Scenario	ROIC	WACC	EVA	Value Creation
Current (2024)	4.9%	11.8%	-$239.6M	Destroying value
Base Case (2026)	8.2%	10.5%	-$79.3M	Approaching breakeven
Bull Case (2028)	12.5%	9.5%	+$103.5M	Creating value

Key Insight: Hecla's transition to value creator hinges on silver price appreciation and policy-driven growth acceleration. Each $5 increase in silver price improves ROIC by approximately 2.5 percentage points.

Capital Efficiency Drivers:

1. **Operating Leverage:** High fixed cost base means margin expansion accelerates with higher prices
2. **Asset Efficiency:** Reserve life >20 years provides long-term capital productivity
3. **Strategic Reinvestment:** Exploration success adds value at low incremental cost

Environmental, Social and Social Factors (ESG)

Environmental Performance (Score: 6.2/10)
Carbon Management: Scope 1 & 2 emissions of ~150k tCO_2e annually, reduction target of 30% by 2030

Water Stewardship: 85% water recycling rate at Greens Creek, zero discharge to environment

Biodiversity: Progressive reclamation at historic sites, partnership with local conservation groups

Energy Efficiency: 15% renewable energy usage, targeting 30% by 2027

Social Responsibility (Score: 7.1/10)
Safety Performance: TRIR of 1.2 vs. mining industry average of 2.5

Community Investment: $4.2M annually in local communities, focusing on education and infrastructure

Indigenous Relations: Formal agreements with Alaska Native corporations, revenue sharing arrangements

Workforce Development: 15% of workforce in apprenticeship programs, $2.1M annual training investment

Supply Chain Ethics: Conflict-free minerals certification, supplier code of conduct

Governance Excellence (Score: 8.4/10)
Board Composition: 80% independent directors, 30% gender diversity

Executive Compensation: 60% performance-linked, aligned with long-term value creation

Transparency: Comprehensive sustainability reporting aligned with GRI Standards and SASB

Risk Oversight: Dedicated ESG committee at board level, integrated risk management

Shareholder Rights: Annual director elections, majority voting policy

Overall Assessment: Hecla's strong governance and social performance provide competitive advantages in an industry facing increasing ESG scrutiny. The company's U.S. operations offer regulatory certainty and transparency benefits compared to international peers. ESG strengths reduce regulatory risk and enhance access to capital.